



Customer Churn Reduction Strategy

Leadership Insights from SQL-Based Customer Analysis

Made By - Prakhar Sinha
Mentorship Program (Component 4)
13th May, 2026

Why Customer Churn Matters??

- Customer churn directly impacts profitability, customer lifetime value, and long-term business growth in the banking industry.
- Identifying churn drivers enables the bank to proactively improve customer retention and engagement strategies.



Revenue Loss

Loss of high-value customers



Reduced Loyalty

Lower customer engagement



Competitive Pressure

Customers shifting to competitors

How the Analysis Was Conducted..



SQL queries and customer segmentation techniques were used to identify patterns associated with customer churn behavior.

Focus Area 1:

Improve Customer Engagement

Key Finding	WHY THIS MATTERS?	RECOMMENDATIONS	EXPECTED OUTCOME
Inactive customers showed significantly higher churn tendencies compared to active customers.	• Low engagement increases churn risk • Reduced interaction weakens customer loyalty • Customers become more vulnerable to competitors	✓ Launch personalized engagement campaigns ✓ Introduce loyalty and rewards programs ✓ Monitor customer activity levels proactively	Improved customer retention and stronger long-term engagement.

Focus Area 2:

Retain High-Value Customers

Key Finding

High-balance customers were also present within churned customer segments, creating potential revenue loss.

WHY THIS MATTERS?

- High-value customers contribute significantly to profitability
- Losing premium customers impacts long-term revenue
- Retaining fewer premium customers can outperform acquiring many low-value customers

RECOMMENDATIONS

- ✓ Offer reduced interest rates to premium customers
- ✓ Provide personalized financial solutions
- ✓ Introduce dedicated relationship management support

EXPECTED OUTCOME

Reduced revenue leakage and improved retention among high-value customers.

Focus Area 3:

Region-Specific Retention Strategy

Key Finding	WHY THIS MATTERS?	RECOMMENDATIONS	EXPECTED OUTCOME
Customer churn patterns varied across geographic regions.	• Customer expectations differ regionally • Competitive pressure may vary by geography • One retention strategy may not work everywhere	✓ Launch region-specific campaigns ✓ Improve localized customer support ✓ Conduct regional satisfaction analysis	Improved retention performance across high-risk geographic segments.

1

High Priority

Improve customer engagement

3

Medium Priority

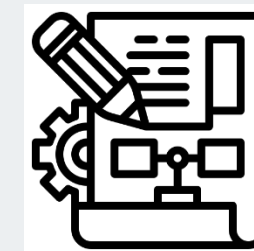
Strengthen regional retention strategies

2

High Priority

Retain high-value customers

Strategic Recommendations for Leadership



The analysis identified customer inactivity, high-value customer attrition, and geographic churn concentration as the strongest contributors to customer churn. Addressing these areas can significantly improve customer retention and long-term profitability.